January-June
2011

Monetary Policy Statement

January 30, 2011

Monetary Policy Department

Bangladesh Bank

Monetary Policy Statement
H2 FY11 (January-June 2011)

Executive Summary

Introduction*: This eleventh issue of Bangladesh Bank (BB)'s half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will adopt in H2 FY11 in support of the government's goals of faster inclusive economic growth and poverty reduction, besides maintaining monetary and price stability. Like the preceding issues, this MPS for second half of FY11 is based on near term domestic and external sector outlook in light of developments during the first half; drafting of the text benefiting from perspectives and insights gleaned in rounds of stakeholder consultations participated by discussants from real & financial sector businesses, economic journalists, eminent economists in academia and think tanks, former finance ministers/advisers and former BB Governors. These ex-ante announcements of monetary policy stance in issues of MPS are intended to anchor inflation expectations of the markets and the general population.*

H1 FY11 growth outcome, near term outlook going forward: *The healthy **o**utput performance seen in FY10 in the agriculture sector has continued in H1 FY11 under benign overall climatic conditions, aided by resolute supporting hands of the agricultural ministry and BB in ensuring timely and adequate access to necessary inputs and financing. Although official estimates are not available yet, episodic information from around the country indicate good overall growth in aman rice output; market prices of rice remaining firm even in the harvest season is acting as strong incentive for growers of boro, the next major rice crop. Strong 41 percent growth of exports in H1 FY11 indicate rebound in output activities catering to export demand; strong growth in import of capital machinery and production inputs and uptrend in quantum index of manufacturing indicate buoyancy in output activities for domestic demand as well. Disruptions in output activities of SMEs due to power outages are expected to ease in H2 FY11 with a number of quick rental power plants slated to commence operation. Barring unforeseen new difficulties, the economy looks well poised to attain the 6.7 percent real GDP growth targeted for FY11, as also to leap forward to growth performance well beyond seven percent in FY12.*

Inflation outcome and outlook: *From 8.70 percent in June 2010, point-to-point CPI inflation eased down by October to 6.86 percent, but edged up to 7.54 percent in November 2010 (Annex 1 , page 14). The 12-month average CPI inflation (7.31 percent in June 2010) remained on uptrend in Q1 FY11 due to high base effect but began leveling off from Q2, at 8.12 percent both in September and October, rose slightly thereafter to 8.14 percent in November 2010. Point to point non-food CPI inflation was on steady declining trend in H1 FY11, coming down to 3.33 percent in November from 5.24 percent of June 2010. Energy price revision reportedly in process for taking effect in H2 FY11 will impart some upward spurt on non-food CPI inflation. Food price inflation remained volatile in H1 FY11 both domestically and globally, at 9.80 percent in November in Bangladesh against 10.88 percent of June 2010. Climatic adversities disrupting output in many regions around the world are pushing up global prices of food commodities;*

strong growth performance in emerging and developing economies is propping up global prices of energy and non-food industrial commodities as well. Against this backdrop, decline in the 12-month average CPI inflation in Bangladesh in H2 FY11 may be slower than expected earlier, remaining above the 6.5 percent level targeted in government's FY11 budget. A level around 7.00 percent appears to be likelier for June 2011.

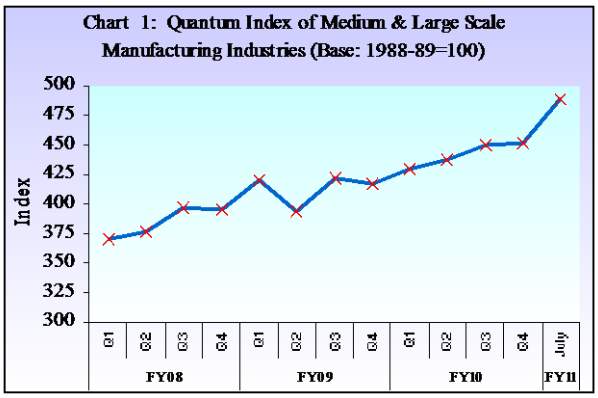
Monetary policy stance for H2 FY11: *With economic activities rebounding strongly and weakening growth in workers' remittance inflows, the liquidity glut seen in inter bank Taka and foreign exchange markets in FY10 dried up in H1 FY11, and occasional episodes of liquidity tightness needed BB's smoothening intervention by way of repo and USD sales. Despite strong export growth rebound, similar growth rebound in imports from a larger base with remittance inflows remaining flat has caused some depreciation of Taka against USD and will keep NFA growth in FY11 low, as was projected in the monetary program announced in July 19 MPS for H1 FY11. The 17.9 percent growth target for domestic credit in the monetary program for FY11 has room for accommodating the 0.5 percent increase in inflation projection; the programmed M2 and domestic credit growth targets for FY11 will therefore be retained unchanged in H2. Implementation of the monetary program in H1 FY11 remained light handed out of concern about recovery from lingering weaknesses in economic activities. RM growth often hovered above program path, particularly in Q2; consequently M2 and domestic credit growth also remained well above their program paths. Monetary policy stance in H2 FY11 will as before remain accommodative for productive economic activities; while also firmly discouraging diversion and undue expansion of bank credit for wasteful unproductive uses, to stem buildup of inflationary pressures.*

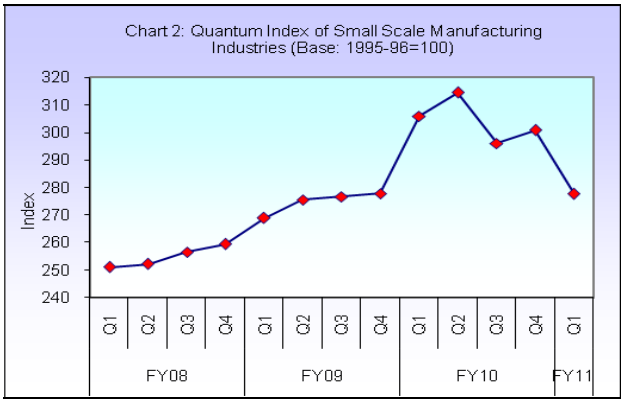
Monetary policy approach, context, outcome and outlook

1. Growth supportive approach: BB's monetary policies and programs seek to impact consumer price levels both by influencing key financial sector prices (policy interest rates, viz., repo and reverse repo rates) and by influencing broad money (M2) growth with changes in reserve money (RM, currency in issue plus balances of scheduled banks with BB) as instrument. Besides day to day changes in reserve money, cash reserve and statutory liquidity requirements (CRR, SLR) are also adjusted occasionally in influencing the M2 growth path. Money stock targeting retains relevance in economies with external capital account controls like Bangladesh. Effectiveness of monetary targeting diminishes with increasing openness in capital account, efforts to contract or expand money stock get counteracted by fund flows into or out of the domestic market; the reason why advanced open economies no longer use money stock targeting and resort solely to price based interventions. Financial inclusion promotion measures in credit policies, alongside discouragement of financing for wasteful unproductive uses are the growth supportive features of BB's monetary policy stance.

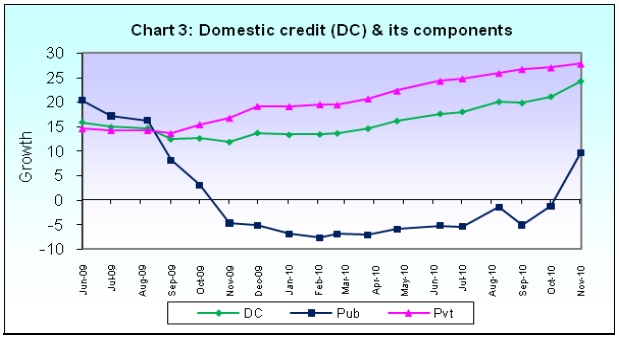
2. H1 FY11 macroeconomic developments and monetary policy actions in retrospect: Recovery momentum in economic activities materialized in H1 FY11 as expected, aided by demand recovery in external markets, government's fiscal stimulus package and BB's supportive monetary policy measures. As already mentioned, agriculture sector output activities are buoyant in overall benign weather conditions, supported by timely access to inputs and financing.

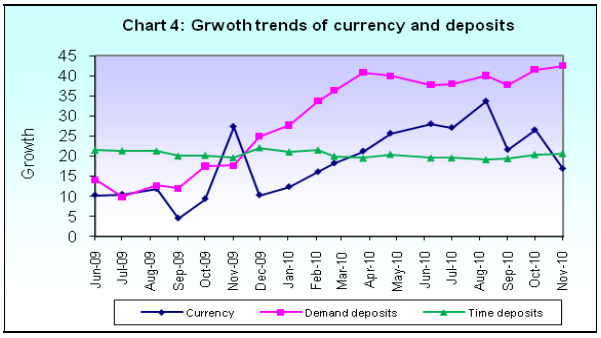
Exports rebounded strongly with 41 percent growth y-o-y during July-December 2010, with increase in shipments to both traditional and newer destinations. Quantum index of medium and large scale manufacturing (available only up to July 2010) moved up 15.3 percent y-o-y in July 2010, the first month of FY11. Quantum index for small scale manufacturing weakened 9.2 percent y-o-y in Q1 FY11 however, presumably because small manufacturers cannot afford captive power generators to cope with supply disruptions from the national grid. Import payments increased 41.9 percent y-o-y during July-October 2010 with 35.6 percent increase in capital machinery imports and about 43 percent increase in import of production inputs including fuel oil. Opening of new import LCs increased strongly by 43.8 percent y-o-y in H1 FY11.





Growth in workers' remittance inflows weakened to a mere 0.21 percent y-o-y in H1 FY11. Weak growth of inflows alongside high outflows for strongly rising imports and other commercial payments abroad generated depreciation pressure on Taka and rendered the local inter bank market net buyer from rather than net seller to BB by December 2010. Exports have grown as strongly as imports, but the import base being larger than export base, the trade deficit has widened in H1 FY11. Taka depreciated against USD, with the weighted average inter bank rate at Taka 70.75 per USD as of 30 December 2010, against Taka 69.44 per USD as of 30 June, 2010. The inter bank market was net seller of USD funds to BB in Q1 FY11, but with rising import payment pressures turned into net buyers from BB in Q2. Overall, the inter bank market bought USD 400.0 million from and sold USD 316.5 million to BB in H1 FY11. Because of the emerging balance of payments pressures the government is looking for concessional assistance from official external donors including IMF and IDA; to finance higher public expenditure needed for the aspired leap forward to a high growth trajectory, and to widen foreign exchange availability for increased private sector investments.





Domestic credit growth kept on gaining pace in H1 FY11, rising to 24.2 percent y-o-y in November 2010 from 17.6 percent of June 2010. Growth in credit to public sector remained small at 9.6 percent in November 2010, with credit to government and credit to other non financial public sector increasing 5.4 percent and 29.9 percent y-o-y (credit growth to SOEs that performed poorly in the past may again become cause for concern unless the new fund infusions yield the hoped for positive results). Credit to the private sector has expanded even faster; growing 27.8 percent y-o-y in November 2010 against 24.2 percent of June 2010. Credit to private sector has thus been expanding much in excess of what may be reasonably needed for attaining the targeted real and nominal GDP growth. The 38.3 percent y-o-y rise in industrial term loan disbursements, 42.9 percent rise in outstanding SME loans, and 18.8 percent rise in outstanding agricultural loans apparently portray healthy composition of productive lending, but sample probes into actual loan utilization unearthed instances of diversion of industrial term loans into capital market (unavailability of new power and gas connections may have acted as inducement for diversion of loans drawn from banks negligent in end use tracking). Credit growth faster than deposit growth (28.4 and 21.6 percent y-o-y respectively as of December 2010) indicated lax attitude of banks in H1 FY11 in expanding lending commitments; time deposits growing slower than demand deposits (20.6 & 42.4 percent y-o-y in November 2010 respectively) signified high liquidity preference amongst the public, presumably for engagements in capital market, evidenced by hectic trading in the stock exchanges.

Chart 5: Growth paths of monetary aggregates against program

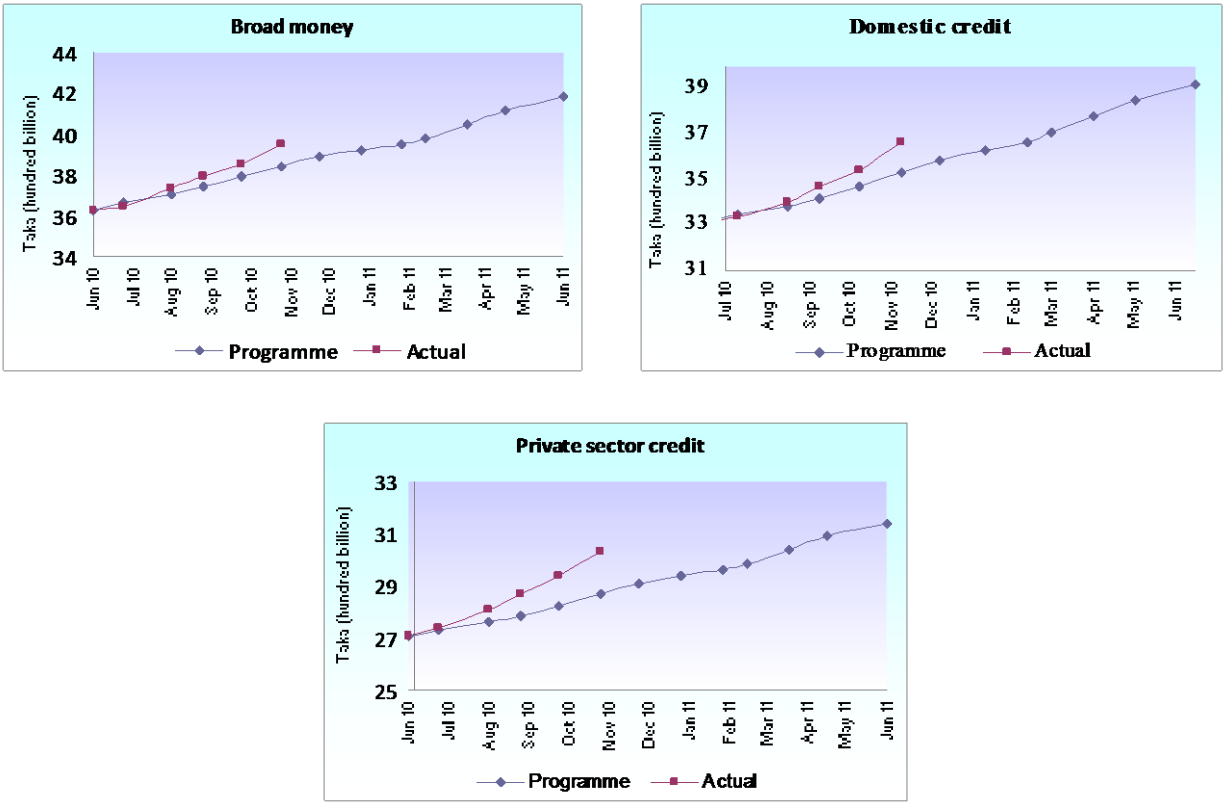


Table 1: Monetary aggregates (y-o-y growth in percent)

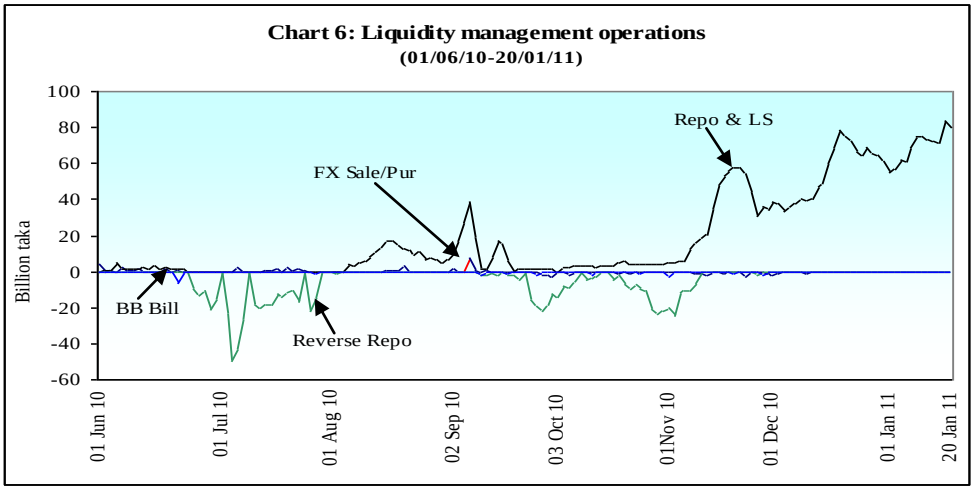
	June 09	June 10	Sep-10	Nov-10	Jun-11 (Prog.)
1. Net foreign assets	27.2	41.3	27.3	10.8	4.2
2. Net domestic assets	17.8	18.8	20.2	24.9	17.6
Domestic credit	15.9	17.6	19.8	24.2	17.9
Credit to the pub. sec. (incld. govt.)	20.3	-5.2	-5.0	9.6	25.3
Credit to the pvt. Sec.	14.6	24.2	26.7	27.8	16.0
3. Broad money	19.2	22.4	21.5	22.2	15.2
4. Reserve money	31.9	18.1	13.1	19.4	13.0

BB has initiated necessary corrective and preventive supervisory steps against lending discipline lapses in banks leading to loan diversion into unauthorized uses, holding bank CEOs responsible for oversight on loan utilization (November 2010). In the backdrop of skyrocketing real estate prices, banks have been asked (in April 2010) not to extend loans for land purchase. Compliance surveillance on permitted ceiling of holding of capital market assets by banks was tightened in June 2010, with revised reporting instructions and supervisory arrangements. In October 2010, general provisioning requirement on bank loans against stocks and shares was doubled to two percent. In December 2010, fifty percent margin requirement was made mandatory on all consumer financing; and mandatory

adjustment period of current overdrafts to rice traders was reduced to 30 days, to curtail tendency of speculative hoarding.

Besides the above mentioned supervisory measures to influence sectoral composition of credit, monetary policy measures adopted to influence cost and volume of credit included i) half percentage point increases in CRR and SLR for scheduled banks from mid May, and once again from mid December 2010, and ii) one percentage point increase in BB's overnight repo and reverse repo interest rates from August 19, 2010. Impact of these measures in the credit market remained largely imperceptible until towards the end of Q2 FY11, swamped out by seasonal large currency withdrawal spikes customary on occasion of the two Eid festivities. The impact started showing up clearly from December in H2 FY11, coupled with pressure on market liquidity caused by heavy outflows for imports and other external payments such as income surplus/profit/dividend repatriation by foreign ventures repatriation of post tax income surpluses of foreign airlines, shipping lines and so forth.

BB's monetary operations in H1 FY11 may be seen from the plot at Chart 6. Repo liquidity infusion in the market from BB had to be increased substantially following the CRR increase in mid-December, to ease the strong outflow related strains mentioned above. The episode of pressure on liquidity brought to surface significant mismatches of Asset Liability Maturities in some banks, causing these to create unusually high spikes in overnight interbank interest rates. BB has since been intrusively monitoring the ALM management practices in these banks.



BB's mid-December infusion of repo liquidity much larger than the liquidity withdrawn by CRR increase has been questioned in some quarters as being tantamount to negation of the CRR increase, but the analogy is not correct. CRR ties up with BB part of a scheduled bank's own funds that it could use in credit creation, funds tied up as CRR are not remunerated. Repo is a transient (overnight) facility at a cost to tide over liquidity difficulties arising from earlier commitments, not at all suitable for use in expanding customer lending.

A sharp price correction came about in the beginning of January 2011 in the country's capital markets seen by analysts as overvalued from quite some months ago. SEC and other concerned authorities moved quickly with confidence restoration measures (mainly activation of institutional

investors in playing their due roles), successfully putting the market back on its feet after a day in freefall and trading stoppage. Some quarters incorrectly attributed the sharp capital market price movements to the money market liquidity situation following the mid-December CRR increase. Selling pressures that forced the price movements had little if anything to do with money market liquidity. Investors offloading part of existing stockholdings to raise cash for three upcoming IPO subscriptions were apparently the proximate factors behind selling pressure that triggered the price correction; in just one of the three IPOs (of MJL), subscriptions worth Taka 26.4 billion were received against issue offer for Taka 6.1 billion. The few banks with capital market asset holdings beyond permissible limits were allowed extended periods to scale down to permitted levels gradually, and had no reason to cause abrupt selling pressure.

3. Outlook for H2 FY11:

(a) Growth: The most recent projections for global output growth in 2011 (3.3 percent, by World Bank, January 12, 2011) are somewhat less upbeat than earlier above four percent growth projections from ADB and IMF. The newer growth projections have the same multi track pattern as in earlier ones however, with slow (below three percent) growth in high income Western economies, high (around eight percent) growth in East Asia, Pacific and India, and four percent plus growth in other emerging and developing economies. External sector risk factors and prospects for growth outlook of Bangladesh in 2011 remain largely unaltered. Exports to new markets including fast growing China and India will have to compensate for slower demand recovery in traditional Western markets. New windows of opportunity have opened up with tariff waivers announced by India and China, and rules of origin relaxation announced by EU for exports from Bangladesh; the robust export rebound seen in H1 FY11 can therefore be expected to be sustained in H2 FY11 and beyond. Tensions in the European financial markets are being viewed as a short term risk factor for FDI inflows to developing economies, but growth efforts in Bangladesh are still funded mainly by concessional official financing inflows with FDI inflows in relatively minor role; and at any event South-South FDI flows from oil rich Middle Eastern countries and from fast growing Asian economies are unlikely to be affected by tensions in EU markets. In the domestic scene, the acute power supply shortages disrupting output activities in preceding years are easing with new quick rental plants staring power generation. Higher prices of agricultural output have increased income and wages in the rural economy, underpinning domestic demand. Given the positive overall external sector outlook, healthy domestic agricultural output growth and continuing recovery in manufacturing output responding to robust domestic demand, Bangladesh economy looks well poised to attain the 6.7 percent real GDP growth targeted by government for FY11, and well on course for growth exceeding seven percent in real terms in FY12.

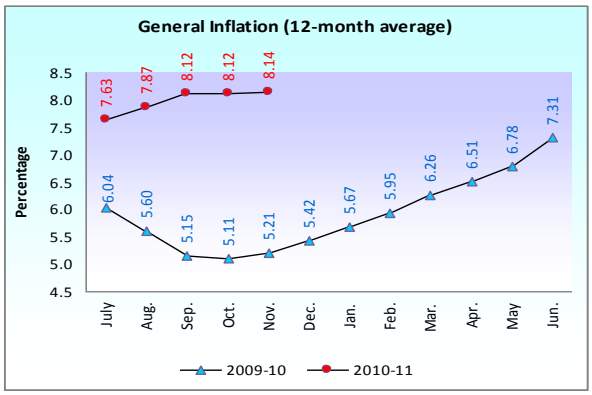
(b) Inflation: As in H1, rising trends in global prices of food, energy and industrial commodities remain the near term external source of concern impacting domestic inflation in H2 FY11 and beyond. Food crop growers get some price subsidies for fertilizers and irrigation fuel, but they are also facing higher costs in substantial real rise in wages of agricultural laborers in recent years (with increasing income of land owning farmers and higher wages of laborers, rural CPI inflation is now higher than urban CPI inflation). Stubbornly high food price inflation in neighboring fast growing India, and prevailing

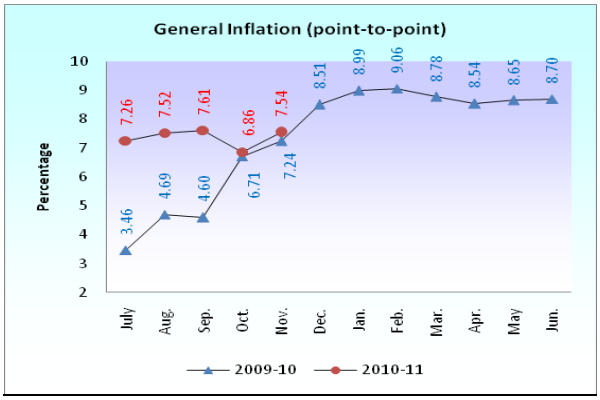
high international prices of food commodities mean that no calming influence on food prices are to be expected from private sector imports, the reason why local rice prices are high and rising even after a good aman harvest. Monetary policy actions will have little leverage on rising food prices in this situation, fiscal measures by way of subsidized food grain sales from public stock may need to be expanded to ease hardships faced by low income population segments. Higher food grain prices for growers have important medium term upsides however; enabling the government to scale down input subsidies as growers get market prices adequately covering their costs and remunerating their efforts, and the price incentive eliciting higher output responses eventually stabilizing prices.

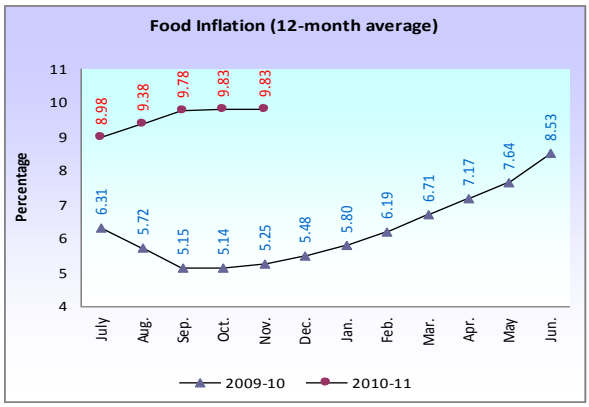
Domestic consumer prices have already factored in wage increases in the apparels sector declared four months in advance taking effect in Q2 FY11. Energy price revision adjusting to higher import prices of fuel oil and to higher purchase cost of power from quick rental plants is reportedly in process and due for taking effect in H2 FY11; this will impart some upward spurt to non food CPI inflation. Food price inflation in H2 FY11 may remain firm but with upside contained by good domestic harvest and reportedly large global grain stocks. Subject to the current low non food inflation not being stoked up by demand shock from excessive credit expansion, the 12-month average domestic CPI inflation is still expected to keep easing down in H2 FY11 but rather more slowly than projected earlier in the July 2010 MPS, to a level around seven percent by June 2011.

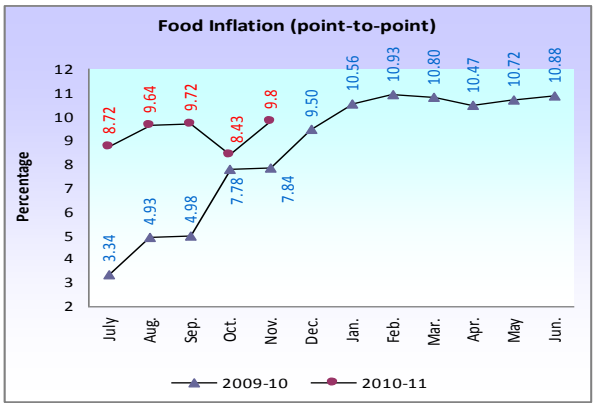
Chart 7: Trends in CPI inflation

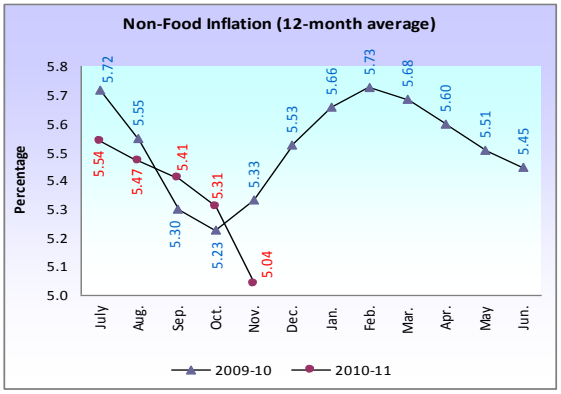
(Base: 1995-96=100)

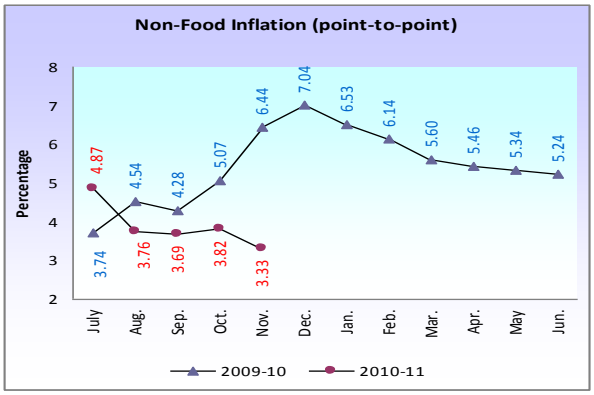












(c) Fiscal developments: Tax revenue collections by NBR during July- November 2010 grew by a healthy 24.81 percent y-o-y, with slower 8.3 percent Q1 FY11 growth in the small non NBR component (about one twentieth of NBR tax revenues). Non tax revenue receipts representing income surpluses of SOEs reportedly declined 26.3 percent in H1 FY11, mainly due to FY10 profit fall of BB and low revenue earnings of BTRC. Profits of BB are expected to recover substantially in FY11. Overall, government's revenue receipts look well set to attain the 16.8 percent growth target set in the budget for FY11.

While 21.9 percent of annual 'non ADP' or 'revenue' expenditure allocation reportedly utilized in Q1 FY11 remained roughly on target, only 20.0 percent of ADP allocations reportedly utilized in first five months of FY11 indicate continuing sluggishness in ADP implementation.

Table 2: Budget Financing

Year	Net borrowing of the Govt. from the banking system[1/]	Net non-bank borrowing of the Govt. from the public	Total domestic Financing	Net foreign financing[2/]	Total financing	Total financing as % of GDP at current market price	Outstanding Domestic debt (end of the period)	Total outstanding domestic debt as % of GDP at current market price
1	2	3	4=(2+3)	5	6=(4+5)	7	8	9
2009-2010	-4376.00	12256.14	7880.14	10218.86	18099.00	2.62	116823.84	16.92
July-September, 2010[P]	-789.60	1709.58	919.98	971.06	1891.04	-	117743.82	-
July-September, 2009	-2543.60	2973.51	429.91	1462.91	1892.82	-	109373.61	-

1/: Excludes interest. 2/: Aid disbursement less amortization. P = Provisional.

Deficit financing during Q1 FY11 amounted to Taka 18.9 billion, with Taka 9.2 billion domestically and Taka 9.7 billion from foreign aid inflows (Table 2). Net sales of NSD instruments and treasury bonds bills to non banks provided the entire domestic financing of Q1 deficit, with bank borrowing in negative. Food grain stock build up by imports, and subsidized sales to low income people are likely to require additional budgetary outlays in FY11; but judging by under-spending trends of preceding years, overall budgetary deficit are more likely to be lower than the initial projections of FY11 budget. The aspired transition to a higher growth trajectory will hinge importantly however on faster pace of efficient utilization of budgetary developmental outlays.

(d) External sector: The high growth rates of exports and imports in H1 FY11 (35.9 and 36.7 percent y-o-y respectively in July-November 2010) in recovery from preceding year's slowdown will settle down in H2 towards more moderate twenty-plus rates for FY11, with trade gap widening because the import base is larger. Workers' remittance inflows weakened faster than anticipated, growing by a nominal 0.21 percent y-o-y in H1 FY11 against previous double digits growth rates. Nearly flat remittance inflows alongside widening trade gap has narrowed down current account surplus, and slowed down foreign exchange reserves buildup in H1 FY11, causing some depreciation of Taka against USD (the weighted average inter bank rate stood at Taka 70.83 per USD as of 30 December 2010, against Taka 69.50 as of 30 June 2010). These trends were broadly foreseen in the July 19 MPS for H1 FY11, and are likely to continue in H2 FY11; but unlikely to pose major issues in maintaining market order and stability.

(e) Monetary policy stance for H2 FY11: As in H1, BB's monetary policies in H2 FY11 will remain simultaneously on growth supportive and price stability preserving stance. In support of broad based inclusive economic growth, credit policies and programs are being pursued in a financial inclusion promotion drive channeling adequate credit flows to under-served sectors like agriculture, SMEs, renewable energy and other eco-friendly projects. Alongside credit growth for productive purposes, expansion/diversion of credit to unproductive and wasteful uses are being discouraged actively, to contain overall monetary expansion within limits of the adopted monetary program.

As mentioned earlier at paragraph 3(b), monetary policies will have little immediate impact on food price inflation in rising trend now locally and globally, fiscal initiative of subsidized food grain sales will need to ease hardships of affected low income earners. But over near to medium term, increased output facilitated by widened access to agricultural credit will have stabilizing impact on food prices. Keeping monetary expansion in line with growth in the real economy will be important in keeping the non-food CPI inflation low and stable. Recent rates of growth in credit to private sector are high (exceeding twenty seven percent y-o-y in November 2010, with instances of industrial and SME loans found diverted to the overheated asset markets) and well out of line with likely growth trend in nominal GDP. Getting to a firmer grip on monetary expansion is therefore an unavoidable necessity. All central banks in our immediate neighbors and in the fast growing emerging economies of East Asia are acting decisively to curb inflationary pressures from excessive monetary expansion, with repeated rounds of hikes in both policy interest rates and CRR.

The end June 2011 targets for broad money and domestic credit aggregates in the monetary program for FY11 (reproduced at Table 1, page 5) announced in July 19 MPS for H1 FY11 will be pursued unchanged in H2. In conformity with the monetary policy stance and the financial inclusion initiative, BB's credit policies in H2 FY11 will seek to redirect credit flows for unproductive wasteful uses into productive, employment and income generating uses. Supervisory vigil on lending and loan administration discipline in banks will remain stricter, lapses and laxities in lending banks will be dealt with sternly, eschewing forbearance. Financial literacy will receive increased attention in BB's financial inclusion campaign, towards instilling watchful alertness and responsible repayment behavior in savers and borrowers.

4. Concluding remarks:

After weathering the global financial crisis and economic slowdown in good shape without losing footing on growth path, Bangladesh economy is now well poised to embark on a higher growth trajectory aspired for in the medium term Perspective Plan. There are of course challenges like slowdown in manpower exports and slow recovery in goods exports to traditional Western markets, but also opportunities to take advantage of in newer markets in fast growing economies in Asia and elsewhere. The private sector has acted with agility in exploiting these opportunities, as evidenced by recent increases in exports to new markets, newer commodities in the export basket including capital goods like ships, and securing position for Bangladesh in the league table of major global destinations for Business Process Outsourcing (BPO). Guiding hands of appropriate government policies will facilitate the initiatives of the private sector. The recent rather sharp growth slowdown in workers' remittance inflows is presumably not solely from decline in manpower exports, but also from decline in savings transfers by expatriates to Bangladesh. During the uncertainties of the global financial crisis, workers abroad tended to send home their savings (alongside usual subsistence money for families at home). After restoration of stability, the savings are being retained partly or wholly outside Bangladesh. To attract these overseas savings into Bangladesh the government may consider revisiting the current features of Wage Earners Development Bond, and effectively promoting sales of the USD Premium and Investment bonds. It may also be timely now to consider floatation of bonds in USD, Euro and Pound sterling by the government's new infrastructure financing fund (BIFF), targeted to attract investments from non-residents, particularly the Bangladeshi Diasporas. Facilitation and effective marketing of BPO opportunities in Bangladesh will be a good supplement of manpower exports, generating employment and income in foreign exchange within Bangladesh.

Transition to higher growth path will entail major increase in public and private sector investments. For public sector outlays the government is sensibly negotiating with external official donors for concessional assistance to the maximum extent feasible. But not all developmental outlays are high in donor priorities for concessional assistance; external borrowing for these projects at non-concessional market rates within limits of overall debt sustainability is justifiable particularly for projects that will generate income needed to repay their debts. In the private sector FDI inflows have played major role in the fast growing emerging economies, while in Bangladesh FDI inflows have thus far only been in relatively minor role. For higher growth Bangladesh needs to attract high FDI inflows, which bring in important technology transfers alongside investment funds.

Stability in the domestic markets is important in sustaining the economy on a high growth path. To avoid instability and jitters, it will be important to have a properly priced capital and real estate markets. Overheated, overpriced markets typically collapse in crashes hurtful for all; the crashes are more painful the longer the price corrections are delayed. Soft landings, always hoped for, are seldom achieved. The price correction coming about in the capital market in early January 2011 is therefore, required to be steadied and stabilized carefully. It needs to be borne in mind that while all possible support measures from all quarters are defensible in handling a crisis situation, the post crisis capital market should move ahead on a self sustaining path with realistic, sensible valuations. The regulatory regime should provide sufficient safeguards against foaming and frothing of stock prices by unscrupulous market players.

Appropriate cooling off interventions have assumed urgency also in the overheated real estate markets, to avoid eventual painful crash. The market not being largely credit driven, monetary and credit policies will have limited impact; BB has nevertheless acted to issue directive stopping bank lending for land purchase. The main thrust will need to be from fiscal measures, interalia including effective measures to collect capital gains tax based on actual transaction values rather than on much lower fictitious values declared in the transfer registrations.

Annex 1

CPI Inflation (National, Rural & Urban), Base: 1995-96 = 100

CPI Inflation (National)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2009-2010						
July	6.04	6.31	5.72	3.46	3.34	3.74
August	5.60	5.72	5.55	4.69	4.93	4.54
September	5.15	5.15	5.30	4.60	4.98	4.28
October	5.11	5.14	5.23	6.71	7.78	5.07
November	5.21	5.25	5.33	7.24	7.84	6.44
December	5.42	5.48	5.53	8.51	9.50	7.04
January	5.67	5.80	5.66	8.99	10.56	6.53
February	5.95	6.20	5.73	9.06	10.93	6.14
March	6.26	6.71	5.68	8.78	10.80	5.60
April	6.51	7.17	5.60	8.54	10.47	5.46
May	6.78	7.64	5.51	8.65	10.72	5.34
June	7.31	8.53	5.45	8.70	10.88	5.24
2010-11[P]						
July	7.63	8.98	5.54	7.26	8.72	4.87
August	7.87	9.38	5.47	7.52	9.64	3.76
September	8.12	9.78	5.41	7.61	9.72	3.69
October	8.12	9.83	5.31	6.86	8.43	3.82
November	8.14	9.98	5.04	7.54	9.80	3.33

CPI Inflation (Rural)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2009-2010						
July	6.16	6.19	6.10	3.21	2.99	3.62
August	5.64	5.52	5.89	4.25	4.07	4.60
September	5.10	4.85	5.60	3.99	3.83	4.30
October	5.05	4.81	5.52	6.62	7.26	5.34
November	5.10	4.84	5.60	6.83	7.00	6.51
December	5.27	5.02	5.77	8.27	8.82	7.20
January	5.49	5.28	5.87	8.81	9.92	6.65
February	5.73	5.62	5.93	8.96	10.34	6.35
March	6.03	6.11	5.88	8.81	10.35	5.89
April	6.33	6.60	5.79	8.77	10.36	5.79
May	6.62	7.10	5.68	8.91	10.66	5.64
June	7.16	7.96	5.62	8.74	10.40	5.58
2010-11[P]						
July	7.52	8.43	5.76	7.45	8.58	5.23
August	7.82	8.93	5.68	7.87	9.95	3.81
September	8.18	9.50	5.62	8.21	10.51	3.69
October	8.24	9.66	5.48	7.36	9.14	3.76
November	8.34	9.95	5.21	8.10	10.53	3.25

CPI Inflation (Urban)						
Period	Twelve-Month Average Basis			Point to Point Basis		
	General	Food	Non-food	General	Food	Non-food
2009-2010						
July	5.76	6.60	4.72	4.09	4.14	4.03
August	5.50	6.17	4.66	5.81	6.92	4.39
September	5.26	5.85	4.54	6.15	7.67	4.20
October	5.26	5.90	4.46	6.96	9.00	4.34
November	5.50	6.20	4.64	8.27	9.83	6.27
December	5.81	6.56	4.86	9.10	11.08	6.60
January	6.16	7.02	5.08	9.44	12.07	6.18
February	6.51	7.56	5.20	9.29	12.32	5.57
March	6.81	8.12	5.17	8.70	11.86	4.83
April	6.99	8.51	5.08	7.95	10.72	4.56
May	7.19	8.91	5.03	8.01	10.86	4.53
June	7.69	9.85	4.99	8.57	11.97	4.36
2010-11[P]						
July	7.91	10.25	4.98	6.79	9.01	3.93
August	7.97	10.41	4.90	6.64	8.95	3.63
September	7.96	10.42	4.85	6.11	7.95	3.67
October	7.83	10.21	4.82	5.61	6.83	3.97
November	7.65	10.06	4.59	6.14	8.12	3.55

P = Provisional